

Employing in Peru

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Peruvian Labour Code
- **Monthly payroll** — salary payments in PEN, itemised payslips via PLAME
- **Tax withholding** — progressive 5th-category income tax withheld and remitted to SUNAT
- **EsSalud & AFP/ONP** — health insurance and pension contribution administration
- **Leave and termination management** — gratificaciones, CTS and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Typically 3 months (extendable to 6 for qualified roles, 12 for management)	Labour Code
Pension system choice	Every employee must choose AFP (private) or ONP (public) on hiring	Pension System Law
Standard hours	8 hrs/day, 48 hrs/week	Labour Code

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Remuneración Mínima Vital (RMV)	S/ 1,130/month	Unchanged since May 2024; no increase applied for 2026
EsSalud (employer health insurance)	9% of gross salary	Employer-only cost; minimum contribution base is the RMV
AFP contribution (employee, if chosen)	~12.5% of gross salary (10% fund + insurance premium + commission)	Fully employee-funded, no employer match
ONP contribution (employee, if chosen)	13% of gross salary	Public pension alternative to AFP, fully employee-funded

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	30 calendar days/year	Employer	After 1 year of continuous service
Gratificaciones (statutory bonuses)	2 full months' salary/year, paid in July and December	Employer, plus a 9% EsSalud bonus paid directly to the employee	Since 2009 reform, the 9% EsSalud saving on gratificaciones is paid to the employee, not retained by the employer
CTS (Compensación por Tiempo de Servicios)	~1 month's salary/year (plus 1/6 of gratificaciones), deposited semi-annually	Employer	Deposited in May and November into a designated CTS account, not paid directly as salary
Asignación Familiar	10% of RMV/month (S/ 113)	Employer	For employees with dependent children under 18 (or up to 24 if studying)

★ HERO TIP

Peru's gratificaciones carry a distinctive employer-funded "bonificación extraordinaria" — since 2009, employers must pass the 9% EsSalud saving on each gratificación payment directly to the employee (or ~6.75% if the employee uses a private EPS plan instead of EsSalud), rather than retaining it. This extra amount is non-pensionable and doesn't feed into CTS, overtime, or vacation calculations — but it must still appear as cash the employee receives each July and December.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
EsSalud (9%)	\$270.00	9.00%
Gratificaciones accrual (2 months/year ≈ 16.7%)	\$500.00	16.67%
CTS accrual (~1 month/year ≈ 8.3%)	\$250.00	8.33%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,620.00	~154.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. EsSalud is Peru's only genuine employer-side statutory percentage contribution —

pension contributions (AFP/ONP) are entirely employee-funded. Employee deductions (withheld separately) include AFP (~12.5%) or ONP (13%) and progressive 5th-category income tax (exempt below 7 UIT/year, ~S/ 38,500 for 2026).

Termination & Separation

Peru requires just cause for dismissal — termination without just cause (despido arbitrario) entitles the employee to compensation of 1.5 months' salary per year of service, capped at 12 months' total salary. This is separate from and additional to the employee's accrued CTS and gratificaciones.

Public Holidays 2026

Date	Holiday	Type
1 January	New Year's Day	National
3 April	Good Friday	National
1 May	Labour Day	National
29 June	St. Peter and St. Paul	National
28-29 July	Independence Day (Fiestas Patrias)	National
30 August	Santa Rosa de Lima	National
8 October	Battle of Angamos	National
1 November	All Saints' Day	National
8 December	Immaculate Conception	National
25 December	Christmas Day	National

Ready to hire in Peru?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Peru employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).